

FACEBOOK / META

A Comprehensive Company Profile

History, Growth, Controversies, and the Future of Social Media

This document provides an in-depth examination of Facebook, Inc., later rebranded as Meta Platforms, Inc., covering its founding, rapid rise to global dominance, business model, key acquisitions, controversies, and future strategic direction. It is intended as a thorough reference for researchers, analysts, students, and anyone seeking a complete understanding of one of the most influential technology companies in human history.

Chapter 1: The Founding of Facebook

Facebook was founded on February 4, 2004, by Mark Zuckerberg, along with his Harvard University roommates and fellow students Eduardo Saverin, Andrew McCollum, Dustin Moskovitz, and Chris Hughes. The social networking website was initially launched under the name 'TheFacebook' and was limited exclusively to Harvard students. Its purpose was simple yet powerful: to create a digital directory and social network for the Harvard community, allowing students to connect, share information, and communicate with one another in an unprecedented way.

Mark Elliot Zuckerberg was born on May 14, 1984, in White Plains, New York, and grew up in Dobbs Ferry, New York. From an early age, he demonstrated an exceptional aptitude for computer programming and software development. As a middle schooler, he created a messaging program he called 'Zucknet' that his father used in his dental office. He went on to develop multiple software applications and games during his high school years, including an early version of a music player that caught the attention of technology companies including Microsoft and AOL, both of which reportedly offered to acquire or hire him while he was still in high school.

Zuckerberg enrolled at Harvard University in 2002 as a psychology and computer science student. During his first years at Harvard, he developed a reputation as a talented programmer and something of a maverick. In 2003, he created a website called 'Facemash' that allowed Harvard students to compare photos of fellow students and rate them by attractiveness. The site went viral almost immediately, generating thousands of visits and rapidly consuming Harvard's bandwidth before the university administration shut it down and Zuckerberg faced disciplinary proceedings. The Facemash incident, though controversial, demonstrated Zuckerberg's ability to create products that immediately captured user interest.

The concept for Facebook, or 'TheFacebook' as it was initially called, emerged from Zuckerberg's broader desire to create a social network that would digitize the student directories (physical books called 'facebook') that many universities distributed to help students get to know one another. By combining photo directories with social networking features such as profile pages, friend connections, and the ability to post messages, Zuckerberg and his co-founders created something that resonated deeply with college students across the country.

1.1 Expansion Beyond Harvard

In March 2004, just weeks after its launch, TheFacebook expanded to Columbia, Stanford, and Yale universities. By June 2004, the network had expanded to most universities in the United States and Canada. The rapid adoption of the platform during this period was

remarkable. Unlike many technology products that struggle to achieve initial traction, Facebook seemed to grow effortlessly, propelled by word-of-mouth among students who found the platform immediately useful and engaging.

In the summer of 2004, Zuckerberg moved to Palo Alto, California, with co-founders Moskovitz and some early employees to work on Facebook full-time. Eduardo Saverin, who had been providing initial funding for the venture, remained in New York. This geographical separation, combined with differing visions for the company's future, would eventually lead to a contentious falling out between Zuckerberg and Saverin that became the subject of legal proceedings and was later dramatized in the 2010 film 'The Social Network.'

Peter Thiel, the co-founder of PayPal and one of Silicon Valley's most influential venture capitalists, made the first major outside investment in Facebook in June 2004, providing \$500,000 in angel funding in exchange for a 10.2 percent stake in the company. This investment was crucial not only for the capital it provided but also for the validation it offered from a respected technology industry figure. Thiel's backing helped establish Facebook's credibility within the Silicon Valley investment community and paved the way for future funding rounds.

Chapter 2: Growth, Business Model, and Key Milestones

Facebook's growth trajectory from a college networking site to a global phenomenon was nothing short of extraordinary. By the end of 2004, the platform had one million registered users. By 2005, that number had grown to six million. By 2006, when Facebook opened its registration to anyone aged 13 or older (previously it had required a college email address), the floodgates opened completely. The decision to move beyond the college demographic was pivotal and controversial internally but proved to be the right strategic call, enabling Facebook to pursue truly global scale.

In September 2006, Facebook introduced the News Feed feature, which aggregated updates from a user's friends and connections into a single scrollable stream. The News Feed was initially met with fierce resistance from users who felt it was invasive and violated their privacy by broadcasting their activities. Hundreds of thousands of users joined protest groups opposing the feature. However, Facebook maintained the feature and users eventually adapted to it. News Feed would go on to become the central organizing principle of the Facebook experience and one of the most consequential product decisions in internet history, fundamentally changing how people consumed social content online.

2.1 Business Model and Advertising Revenue

Facebook's business model is fundamentally built on advertising. The company offers its social networking services to users at no direct cost and generates revenue by selling targeted advertising to businesses and organizations who wish to reach Facebook's vast and highly segmented user base. The key competitive advantage of Facebook's advertising platform is its unparalleled ability to target users based on an extraordinarily detailed understanding of their demographics, interests, behaviors, relationships, and online activities.

When users interact with Facebook, they continuously generate data about themselves: what they like, what they share, what they search for, which events they attend, which products they purchase, and even how long they pause while scrolling past a particular piece of content. This data is aggregated and analyzed to build detailed user profiles that allow advertisers to serve highly relevant advertisements to precisely defined audiences. An advertiser selling baby products, for example, can target new parents in a specific city in a specific income bracket who have recently joined parenting groups. This level of targeting specificity was unprecedented in the history of advertising.

The Facebook Ads platform, launched in 2007, initially offered relatively simple display advertising options. Over time, it evolved into one of the most sophisticated and effective digital advertising tools available, incorporating video ads, carousel ads, retargeting

capabilities, lookalike audiences, and a rich set of analytics and measurement tools. By 2012, when Facebook went public, advertising revenue was firmly established as the cornerstone of its financial model, a reality that has only deepened in the years since.

2.2 Key Financial Milestones

Facebook's initial public offering (IPO) on May 18, 2012, was one of the most anticipated and closely watched events in the history of the technology industry. The company was listed on the NASDAQ stock exchange under the ticker symbol 'FB' and raised approximately \$16 billion in the offering, valuing the company at approximately \$104 billion. At the time, it was the largest technology IPO in history and one of the largest IPOs of any kind.

The IPO was, however, marred by significant technical difficulties on the NASDAQ exchange and controversy over allegations that underwriters had selectively shared negative information about Facebook's revenue growth outlook with certain institutional investors but not with the general public. The stock price declined significantly in the months following the IPO, falling to below \$20 per share by September 2012 from its IPO price of \$38. This decline wiped out billions of dollars of market value and led to investor lawsuits.

The recovery from the post-IPO slump was driven primarily by Facebook's successful transition to mobile advertising. In 2012, the company had little mobile advertising revenue despite the fact that a growing majority of its users were accessing Facebook on smartphones rather than desktop computers. By investing heavily in mobile product development and mobile ad formats, Facebook rapidly built a world-class mobile advertising business. By 2014, mobile advertising accounted for more than half of Facebook's total advertising revenue, and the stock price had more than recovered its post-IPO losses.

Chapter 3: Major Acquisitions and Strategic Expansions

Facebook's growth strategy has been characterized not only by organic product development but also by a series of bold and in many cases transformative acquisitions. Over the years, Facebook has acquired hundreds of companies, but several stand out as particularly significant in shaping the company's trajectory and competitive position.

3.1 Acquisition of Instagram

In April 2012, Facebook announced the acquisition of Instagram, a photo-sharing social network that had been founded just two years earlier by Kevin Systrom and Mike Krieger, for approximately \$1 billion in cash and stock. At the time, Instagram had approximately 30 million registered users and no revenue whatsoever. Many observers questioned the wisdom of paying \$1 billion for a company with no revenue and a small team of just 13 employees.

In hindsight, the Instagram acquisition stands as one of the most strategically brilliant moves in corporate history. Instagram grew explosively under Facebook's ownership, eventually amassing over one billion active monthly users and becoming a cultural phenomenon in its own right, particularly among younger demographics. The platform became a primary destination for brand advertising, influencer marketing, and e-commerce, generating tens of billions of dollars in advertising revenue annually for Meta. The acquisition effectively prevented Instagram from becoming a rival social network and allowed Facebook to extend its reach to users who were less engaged with the core Facebook product.

3.2 Acquisition of WhatsApp

In February 2014, Facebook announced an even more audacious acquisition: it would purchase WhatsApp, a cross-platform messaging application, for approximately \$19 billion in cash and stock. WhatsApp, founded in 2009 by Jan Koum and Brian Acton (both former Yahoo employees), had grown rapidly to become one of the world's most widely used messaging apps, particularly in Europe, Latin America, India, and Africa. At the time of acquisition, WhatsApp had approximately 450 million monthly active users and was adding one million new users every day.

The WhatsApp acquisition was driven by Facebook's recognition that messaging was becoming a primary mode of digital communication and that it needed to own a dominant messaging platform to secure its long-term position. The acquisition price of \$19 billion shocked the technology industry and the broader business world, representing the largest acquisition of a venture-backed startup at that time. Despite the enormous price tag, the strategic rationale has proven sound: WhatsApp has since grown to over two billion users,

making it one of the most widely used applications in the world.

3.3 Acquisition of Oculus VR

In March 2014, Facebook announced the acquisition of Oculus VR, a virtual reality headset startup, for approximately \$2 billion. Oculus had gained widespread attention after a spectacularly successful Kickstarter campaign in 2012 that raised \$2.4 million to develop its Rift headset. The acquisition reflected Zuckerberg's conviction that virtual reality represented the next major computing platform after mobile and that Facebook needed to establish a dominant position in this emerging space before others could.

The Oculus acquisition was prescient in its identification of virtual reality as a transformative technology but has proven to be a long-term bet rather than a quick payoff. Facebook (later Meta) invested billions of dollars in developing VR hardware and software through the Oculus brand, eventually launching a series of consumer headsets including the Oculus Quest line. The Reality Labs division, which encompasses the company's VR and AR activities, has consistently generated significant operating losses while laying the foundation for what Zuckerberg envisions as the 'metaverse.'

3.4 The Metaverse Pivot and Rebranding to Meta

In October 2021, in a move that surprised the technology industry and the broader public, Mark Zuckerberg announced that Facebook, Inc. would be rebranding to Meta Platforms, Inc. The rebranding reflected a strategic repositioning of the company around the concept of the 'metaverse,' a term referring to a shared virtual world in which people can interact, work, play, and socialize using immersive technologies such as virtual reality and augmented reality.

The timing of the rebranding was widely interpreted as partly motivated by a desire to change the narrative surrounding the company at a time when it was facing intense scrutiny and criticism over a series of controversies including allegations that its platforms were harmful to mental health, spread misinformation, and were used to incite real-world violence. By pivoting the brand identity toward a futuristic vision of immersive social interaction, Zuckerberg sought to redefine how the public and investors thought about the company.

Chapter 4: Controversies and Regulatory Challenges

Facebook's remarkable commercial success has been accompanied by an equally remarkable series of controversies, scandals, and regulatory challenges. From privacy violations to allegations of enabling election interference, from accusations of anti-competitive behavior to concerns about mental health impacts on young users, Facebook/Meta has faced scrutiny from governments, civil society organizations, researchers, and the general public around the world.

4.1 The Cambridge Analytica Scandal

The Cambridge Analytica scandal, which came to widespread public attention in March 2018 through reporting by The Guardian and The New York Times, was arguably the most damaging episode in Facebook's history in terms of public trust and regulatory consequences. Cambridge Analytica, a political data analytics firm with ties to the 2016 Trump presidential campaign and the Brexit Leave campaign, had obtained personal data on approximately 87 million Facebook users without their explicit consent.

The data was harvested through a personality quiz app called 'This Is Your Digital Life,' developed by researcher Aleksandr Kogan. While only around 270,000 users directly installed the app, Facebook's platform policies at the time allowed the app to collect data not only on those users but also on all of their Facebook friends, enabling the collection of data on tens of millions of people who had never interacted with the app at all. Cambridge Analytica allegedly used this data to build psychological profiles of American voters and to target them with tailored political advertising.

The revelations triggered an enormous public backlash, congressional hearings in the United States, parliamentary inquiries in the United Kingdom, investigations by multiple data protection authorities around the world, and the viral spread of a 'Delete Facebook' movement on social media. Zuckerberg testified before the U.S. Senate and House of Representatives in April 2018 in hearings that attracted widespread attention. In July 2019, the U.S. Federal Trade Commission (FTC) announced a record-breaking \$5 billion fine against Facebook for privacy violations related to the Cambridge Analytica scandal, the largest privacy fine ever imposed by the U.S. government.

4.2 Misinformation and Election Interference

Facebook has faced sustained criticism for its role in the spread of misinformation and disinformation, particularly in the context of elections. Following the 2016 U.S. presidential election, it emerged that Russian operatives had used Facebook to run influence campaigns designed to sow division in American society, suppress voter turnout among Democratic-leaning groups, and amplify support for Donald Trump's candidacy. The Internet

Research Agency, a Russian organization, spent approximately \$100,000 on Facebook advertising and created thousands of fake accounts and pages to reach millions of American Facebook users.

The episode raised profound questions about Facebook's responsibility for the content on its platform and its vulnerability to organized manipulation. Facebook faced criticism both for being too slow to recognize and respond to the Russian interference campaign and for its overall approach to content moderation, which critics argued was inadequate to prevent the viral spread of false information.

4.3 Mental Health Concerns and the Frances Haugen Revelations

In late 2021, Frances Haugen, a former Facebook product manager, became a whistleblower by leaking tens of thousands of pages of internal Facebook documents to the Wall Street Journal and subsequently to other news organizations and lawmakers. The leaked documents, which formed the basis of the Wall Street Journal's 'Facebook Files' investigative series, revealed that Facebook's own internal research had concluded that Instagram was associated with negative mental health outcomes in teenage girls, including increased rates of anxiety, depression, and body image issues.

Haugen testified before the U.S. Senate in October 2021, arguing that Facebook consistently prioritized engagement and profit over user safety and societal well-being. She argued that the company's algorithms were designed to amplify emotionally charged and divisive content because such content generated more engagement (likes, comments, shares), and that Facebook had chosen not to implement known fixes for these problems because doing so would reduce engagement metrics.

4.4 Antitrust Actions

Facebook has faced significant antitrust scrutiny from regulators in the United States and Europe. In December 2020, the FTC filed an antitrust lawsuit against Facebook, alleging that the company had maintained its social networking monopoly through anti-competitive practices, specifically pointing to the acquisitions of Instagram and WhatsApp as examples of buying out potential rivals rather than competing with them. The lawsuit sought to potentially force Facebook to divest Instagram and WhatsApp.

In Europe, the company has faced a series of significant regulatory actions under the General Data Protection Regulation (GDPR), resulting in substantial fines. The Irish Data Protection Commission, which serves as the primary European regulator for Facebook due to the company's European headquarters being in Dublin, has imposed multiple fines totaling hundreds of millions of euros for various GDPR violations. The European Union's Digital Markets Act (DMA), which came into effect in 2022, imposed additional obligations on large

platform companies including Meta, requiring them to open their platforms to greater interoperability and to refrain from certain anti-competitive practices.

Chapter 5: Mark Zuckerberg — The Architect of Meta

Mark Zuckerberg's story is inseparable from Facebook's story. He is one of the most consequential figures in the history of the internet and arguably in the broader history of global communication. His decisions — product choices, acquisitions, cultural policies, strategic pivots — have shaped not only the company he founded but the information environment of billions of people around the world.

Zuckerberg's leadership style has been described by former colleagues, journalists, and biographers as intensely focused, highly analytical, and deeply competitive. He has a famously disciplined approach to his personal life, reportedly wearing the same type of gray t-shirt and jeans daily to minimize decision fatigue and allow him to focus his cognitive energy on business decisions. He is known for conducting intensive reviews of his teams' work, asking probing questions, and maintaining an unusually deep level of involvement in product decisions for a CEO of a company of Meta's scale.

His management philosophy has been encapsulated in several memorable phrases and mottos that have become synonymous with Silicon Valley startup culture. 'Move fast and break things,' an early Facebook motto, captured the company's aggressive approach to product iteration and its willingness to accept imperfection in pursuit of speed and growth. The motto was later quietly retired as Facebook's scale made the consequences of 'breaking things' more significant and more difficult to ignore.

5.1 Zuckerberg's Personal Wealth and Philanthropy

As the founder and controlling shareholder of one of the world's most valuable companies, Mark Zuckerberg has accumulated enormous personal wealth. He consistently ranks among the world's wealthiest individuals, with a net worth that has at various times exceeded \$100 billion. This wealth is almost entirely concentrated in Meta stock, meaning his personal fortune fluctuates dramatically with the company's share price.

In 2015, Zuckerberg and his wife Dr. Priscilla Chan announced the formation of the Chan Zuckerberg Initiative (CZI), a philanthropic organization to which they pledged to donate 99 percent of their Facebook shares over the course of their lifetimes, a commitment valued at tens of billions of dollars. The CZI has focused primarily on education, scientific research (particularly in the life sciences), and criminal justice reform. In the area of science, CZI has made landmark commitments to funding basic biological research with the audacious goal of curing, preventing, or managing all diseases within the next century.

5.2 Meta's Vision for the Metaverse

The centerpiece of Meta's current strategic vision is the development of the metaverse: a persistent, interconnected virtual world in which people can interact, socialize, work, and play using VR and AR technologies. Zuckerberg has described the metaverse as the successor to the mobile internet, arguing that just as smartphones transformed the way people interact with digital services, immersive virtual environments will transform the way people experience the digital world.

Meta's Reality Labs division, which houses the company's VR and AR efforts, has been investing massively in this vision. The company has released multiple generations of VR headsets under the Quest brand and has been developing AR glasses in collaboration with Ray-Ban. The company has also invested heavily in developing the software infrastructure, social platforms, and digital commerce tools that it believes will be needed to support a thriving metaverse ecosystem.

The metaverse strategy has been financially costly. Reality Labs has generated cumulative operating losses of tens of billions of dollars since 2020, an enormous financial burden that has led to significant tension with investors who are skeptical about the timeline and ultimate viability of the metaverse vision. The company's share price declined precipitously in 2022, shedding more than 60 percent of its value, driven partly by concerns about the metaverse investment strategy and partly by broader challenges in the digital advertising market.

5.3 The Road Ahead for Meta

Despite the challenges, Meta remains one of the most powerful and financially robust technology companies in the world. Its core social media platforms — Facebook, Instagram, and WhatsApp — collectively serve over 3.5 billion monthly active users, representing nearly half of the world's population. The advertising business that monetizes this enormous user base continues to generate tens of billions of dollars in annual revenue and profit.

The company's short-term strategic focus following the difficult 2022 period has been on improving efficiency and profitability. Zuckerberg declared 2023 the 'Year of Efficiency,' implementing significant workforce reductions (laying off approximately 21,000 employees over 2022 and 2023) and streamlining operations to reduce costs. These measures significantly improved the company's financial performance and restored investor confidence.

In the artificial intelligence space, Meta has been a major investor and has taken the philosophically distinctive position of open-sourcing many of its AI models and tools through the LLaMA series of large language models. This open-source approach, which stands in contrast to the proprietary strategies of rivals such as OpenAI and Google, reflects a strategic bet that an open AI ecosystem will ultimately benefit Meta by fostering a broader community of developers and innovation around AI technologies that can be integrated into Meta's platforms.

From its humble origins in a Harvard dormitory room in February 2004 to its current status as a global technology giant serving billions of users and shaping the future of human communication, Facebook/Meta's journey is one of the most extraordinary in the history of business and technology. Whatever challenges lie ahead — regulatory, competitive, technological, or social — the company that Mark Zuckerberg built has already left an indelible mark on the 21st century.